GHANA REVENUE AUTHORITY

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GUIDELINES ON CERTIFIED INVOICING SYSTEM (E-VAT)

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1.0 INTRODUCTION

As part of the digitalization agenda enshrined in Goal 3 of the 3rd Strategic Plan of the Ghana Revenue Authority (GRA), the aim is to leverage technological innovations to improve the overall effectiveness of revenue mobilization.

In line with this, a certified invoicing system has been introduced to optimize revenue and reduce cost of compliance to taxpayers.

The introduction of the certified invoicing system aims at addressing certain challenges confronting tax administration. These include invoice cloning, carding, and failure on part of some taxpayers to issue tax invoices.

To this end the VAT Act, 2013 (Act 870) has been amended to give the legal mandate needed for the effective implementation of the electronic issuance of a tax invoice.

Certified Invoicing System referred to as E-VAT is a means by which the GRA is able to monitor the issuance of invoices by taxpayers by certifying all invoices issued for the purpose of accounting and filing of the VAT Returns.

2.0 OBJECTIVE

The purpose of this guideline is to give clarity and provide guidance to the general public including officers of the Ghana Revenue Authority (GRA) as well as taxpayers on the procedures to be followed in the implementation of the Certified Invoicing System (E-VAT).

3.0 RELEVANT ACTS & REGULATIONS

- Value Added Tax Act, 2013 (Act 870)
- Value Added Tax (Amendment) Act, 2022 (Act 1082)
- Value Added Tax (Amendment) (No. 2) Act, 2022 (Act 1087)
- Value Added Tax Regulations, 2016 (LI 2243)

4.0 INTERPRETATION

In these Administrative Guidelines, unless the context requires otherwise:

- "Act" means the Value Added Tax Act, 2013 (Act 870) as amended
- "Regulation" refers to Value Added Tax Regulations, 2016 (LI 2243)
- A Taxpayer is a person registered to pay VAT.
- A Taxable person is a person who is registered or required to register to for the purposes of VAT.

Definitions and expressions used in these Administrative Guidelines have the same meaning as in the Act.

5.0 DEFINITIONS

- “Certified Invoicing Management System (CIMS)” means a system designated for use in business for efficiency management controls in areas of sales analysis and stock control which conforms to the requirements specified by the Authority;
- “Tax invoice” means an electronic tax invoice issued from a certified invoicing system for a supply of goods or services by a taxable person in accordance with this Act and Regulations made under this Act.
- “Time Stamp” indicates the date and time stamped by the Certified Invoicing Management as a proof that a particular transaction took place at that set time and date
- “Certified Invoicing System (E-VAT)” means a software system similar to the online electronic invoice solution that is downloadable onto a taxpayer’s desktop. It requires taxpayers to go online within a specified time to get a new token/key for the VSDC to be able to stamp and store all transactions and transfer all issued invoices and sales receipts to the Certified Invoicing Management System
- “Electronic invoicing mobile system” is a smartphone app connected to the Certified Invoicing Management System that allows a taxpayer issue a certified invoice by using any smartphone. This free mobile app is available exclusively for taxpayers without an electronic invoicing system
- Online E-invoicing Solution” means a ready to use online Point of Sale (POS) system connected to the backend of the Certified Invoicing Management system that allows taxpayers to issue tax invoices and sales receipts.
- “Online Sales Data Controller” means a software module communicating with both the Certified Invoicing System (CIMS) for the purpose of validating and authenticating invoices and receipts.
- “Virtual Sales Data Controller (VSDC)” is a software module communicating with both the CIMS and the Authority for processing receipts;

6.0 SCOPE AND COVERAGE OF THESE GUIDELINES

These guidelines cover the implementation of the Certified Invoicing System for all VAT registered taxpayers, whether the taxpayer currently uses electronic systems for invoicing or issues invoices manually. They also cover non-VAT registered and one-off suppliers who require VAT invoices for their supplies.

7.0 FEATURES OF THE CERTIFIED INVOICING SYSTEM (E-VAT).

1) A taxable person shall, in accordance with subsection (1) of section 41 of the Act, on supply of taxable goods or services issue to the customer **a** tax invoice.

2) A tax invoice shall contain the following:

a. the name, address and TIN (including the Ghana Card PIN) of that taxable person;
b. the date and time of supply;
c. the number of the invoice taken from a consecutive series;
d. the name of the customer or business name and address and TIN (including the Ghana Card PIN) of a taxable person;

e. a description sufficient to identify the goods or services supplied including the quantity of the goods or the extent of the services supplied and the unit of measure (i.e. weight, length, boxes);

f. the type of transaction by reference to the following categories:
   (i) sale;
   (ii) hire purchase, hire, lease or rental;
   (iii) exchange;
   (iv) goods and services supplied from the taxable person's own supplies;
g. the rate and corresponding amount of levies (NHIL, GETFund Levy and Covid-19 HRL)

h. the tax-exclusive charge for each description of goods or services supplied;
i. the rate of the tax;
j. the total charge on the invoice, exclusive of the tax;

k. the rate of any discount;
l. the total tax charged;

m. the total charge inclusive of the tax.

3) In addition, and on account of the shift to an electronic platform for issuing invoices the following features have been added:

(m) the Quick Response (QR) code

(n) invoice signature

(o) the verification engine ID

(p) encrypted data

(q) time stamp

4) Where a taxable person issues a tax credit note or tax debit note, the tax credit note or tax debit note shall indicate the TIN (including the Ghana Card PIN) and invoice number to which the supply relates in accordance with the fourth schedule of the Act and in addition to the following:

- a Quick Response (QR) code
- invoice signature
- verification engine ID
- encrypted data and
- time stamp
- any other requirements as may be specified by the Commissioner-General.

5) A tax invoice shall not be issued in any circumstance other than that specified in Regulation 21(1).

6) In the case of import of goods, the appropriate customs form i.e. Bill of Entry and receipts certifying payment of the tax shall be used as the control document for establishing eligibility for input tax credit.

8.0 PROVISION FOR SALES RECEIPTS

The Commissioner-General may permit the issuance of a sales receipt where;

(a) the taxable person makes low value, high volume supplies.

(b) the taxable person uses the certified invoicing system for the issuance of the sales receipt.

A taxable person who makes a taxable supply may issue a sales receipt in accordance with subsection (3) of section 41 of the Act.

a. The sales receipt shall be printed or sent by SMS or Email and may contain the following information:
   i. the name, address and TIN (including the Ghana Card PIN of that taxable person;
   ii. the date and time of supply;
   iii. the serial number of the receipt
   iv. the name of the customer or business name and address and TIN (including the Ghana Card PIN) if a taxable person (is optional);

v. a description sufficient to identify the goods or services supplied including the quantity of the goods or the extent of the services supplied and the unit of measure (i.e. weight, length, boxes);

vi. the type of transaction by reference to the following categories:

(i)sale; (ii) hire purchase, hire, lease or rental; (iii) exchange; (iv) goods and services supplied from the taxable person's own supplies;

vii. the rate and corresponding amount of the levies (NHIL, GetFund Levy, Covid-19 HRL)

viii. the tax-exclusive charge for each description of goods or services supplied;

ix. the rate of the tax;

x. the total charge on the sales receipt, exclusive of the tax;

xi. the rate of any discount;

xii. the total tax charged;

xiii. the total charge inclusive of the tax.

xiv. the Quick Response (QR) code

xv. signature

xvi. the verification engine ID

xvii. encrypted data

xviii. time stamp

- A sales receipt without all the purchaser's details as provided (including the name and TIN) does not qualify for input tax deduction.

9.0 TYPES OF CERTIFIED INVOICING SYSTEMS

The Commissioner-General may specify a system for use as a certified invoicing system. The invoicing systems approved by the Commissioner-General include;

- Certified Enterprise Resource Planning (ERP) & Point of Sale (POS)

  Where a taxpayer has their own invoicing system (ERP or POS), this will be integrated with the GRA's Invoicing System. The integrated system will be approved for use by the taxpayer to issue Commissioner-General's Certified Electronic VAT Invoices. This allows the taxpayer with multiple users to connect to the E-VAT system through the internet.

- Free Invoicing Software

  Taxpayers issuing manual VAT invoices will be provided with the Commissioner-General's free invoicing software at no cost and will be hosted on the cloud environment. The online invoicing systems will be accessed through the taxpayers' own internet and devices such as:

- Desktop version – This version of the software will be installed on the taxpayer’s computer. This software is available for Windows based operating system.
- Mobile version – To be installed on the taxpayer’s Android smartphone or tablet. The App is easily downloadable from Google play store, or on GRA’s website.
- Online version – Web-based version that can be accessed via any browser.
- Portal version for one-off transactions – Where a non-registered person engages in one-off taxable supply and is required to issue an invoice to their client, GRA will make available an online portal for such a person to sign-up, make payment before the electronic invoice is generated.

10.0 ONBOARDING PROCESS

Below is the onboarding procedure for VAT registered taxpayers.

a. A taxpayer may be selected, may request or may be onboarded at the point of application for VAT registration at GRA.
b. A Relationship Manager will be assigned to the taxpayer to assist with the onboarding process.
c. An Onboarding form will be shared with the taxpayer for completion.
d. On completion of the onboarding form, a determination will be made as to whether a taxpayer requires Integration or the use of the free invoicing software provided by GRA.
e. In the case of Integration:
    - GRA will provide API documentation to the taxpayer.
    - Taxpayer will be required to integrate their invoicing system with the E-VAT System.
    - Testing will be carried out and GRA will sign off.
    - Taxpayer will be scheduled to go live.

f. In the case of Free Invoicing:
    - GRA will demonstrate the invoicing software to the taxpayer.
    - GRA will train taxpayer on use of the Invoicing software.
    - Testing will be carried out and GRA will sign off.
    - Taxpayer will be scheduled to go live.

11.0 NETWORK CONNECTIVITY & SYSTEM UPGRADES

System downtime may arise from either the taxpayers’ end (ERP/POS) or the GRA’s own system (servers). The following protocols and communication channels have been established to manage the downtime for each of these scenarios. This is to ensure that taxpayers can continue with their business without any disruption.

- **Where the Commissioner-General’s System is offline (Servers down)**

  In the unlikely event that the Commissioner-General’s system goes down the following protocol will apply:

  1. GRA to immediately notify taxpayers.
  2. GRA to issue the signature key automatically to taxpayers’ preferred contact to avoid disruption to business.
  3. GRA to notify taxpayers when system is restored.

- **Where Taxpayer’s System (Online E-Invoicing software) is Offline**

  The following protocol must be adhered to when the taxpayer’s system goes down:

  Taxpayer should immediately notify GRA through support@evatgra.zendesk.com

  1. GRA to immediately acknowledge taxpayer complaint
  2. GRA to issue the signature key automatically to taxpayers’ preferred contact to avoid disruption to business.
  3. Taxpayer is required to update the Commissioner-General’s System with all the transactions when the system was offline.

- **Where Taxpayer’s System (ERP/POS) is Down**

  1. Taxpayer should immediately notify GRA through support@evatgra.zendesk.com
  2. GRA to immediately verify validity of claim.

- **Where the Taxpayer intends to upgrade their invoicing system (hardware/software) or install antivirus on the system**.

  Taxpayer should notify GRA 24 hours before the system upgrade through the official reporting platform by sending an email to support@evatgra.zendesk.com

12.0 EXCEPTIONAL CASES

12.1 Invoice Cancellation /Returned Items

An invoice cancellation may arise from one or more of the following reasons:

- An error in data entry by teller
- A return of a part or all of the items purchased by a customer

Scenario 1: Where an invoice has been issued for a supply but the corresponding VAT return has not yet been filed with the GRA.

a. **Error entry**

Where a taxpayer makes an error at the point of data entry, taxpayer should cancel the original invoice transaction on the system, taking into account all necessary adjustments.

b. **Return of all Items Purchased (Normal Refund)**

Where a taxpayer has to refund to a customer the full value of items purchased, the taxpayer should cancel the original invoice on the system and issue a new invoice all together showing alteration to transaction.

c. **Return of Part of Items Purchased (Partial Refund)**

Where a taxpayer has to refund to a customer a part of the value of items purchased, the taxpayer should cancel the original invoice on the system and issue a new invoice all together showing alteration to transaction, taking into account all necessary adjustments with respect to stock reconciliation.

Scenario 2: Where an invoice has been issued for a supply and the corresponding VAT return has been filed with the GRA

a. **Return of all Items Purchased (Normal Refund)**

Where a taxpayer has to refund to a customer the full value of items purchased, the taxpayer should cancel the original invoice on the system and issue a new invoice all together, taking into account all necessary adjustments with respect to stock reconciliation. In this instance the taxpayer making the supply shall issue to the customer a tax debit note containing the particulars specified in the 4th schedule of the Act.

b. **Return of Part of Items Purchased (Partial Refund)**
Where a taxpayer has to refund to a customer part of the value of items purchased, the taxpayer should cancel the original invoice on the system and issue a new invoice all together showing alteration to transaction, taking into account all necessary adjustments with respect to stock reconciliation. In this instance the taxpayer making the supply shall issue to the customer a tax debit note containing the particulars specified in the 4th schedule of the Act.

12.2 ISSUANCE OF GIFT CARDS AND LAY-AWAY ARRANGEMENTS

Where a taxpayer issues a voucher or gift certificate (gift voucher) as consideration for the supply of goods or services the tax is due when the voucher or certificate is issued. When a customer buys a gift card from a taxable person the tax is due.

At the redemption of the voucher or gift certificate, the taxable person is required to issue a certified tax invoice for the supply of goods taking into account the tax paid upfront on the voucher or gift certificate. Any required adjustments are made between the output tax properly charged and output tax actually accounted for in respect of the goods.

Where a lay-away agreement is terminated or cancelled and the seller retains an amount paid by the purchaser or recovers an amount the purchaser owes under the agreement, the cancellation or termination is a supply of services by the seller in respect of the agreement.

12.3 VAT TREATMENT OF DISCOUNT AND REBATES

The Commissioner-General will recognize discounts or rebates only if they are non-discriminatory and available to every recipient of the supply as prescribed under Regulation 11 of LI 2243. The tax is calculated on the discounted value of a supply.

13.0 RECORD KEEPING

1. Each registered person shall, unless otherwise provided for in the VAT Act and its Regulations, for the purpose of accounting for the tax, keep the following records where applicable:

   (a) a Value Added Tax account to show total output tax and the amount due to or due from the Commissioner-General for each month;
   (b) relevant business and accounting records including sales and purchase journals, cash books, ledgers and other subsidiary books of account;
   (c) copies of all tax invoices and sales receipts issued;
   (d) tax invoices and sales receipts received;
   (e) documentation relating to the importation and exportation of goods and services;
   (f) all tax debit and tax credit notes or other documents providing evidence of an increase or decrease in the value of goods and services purchased or sold; and
   (g) any other records that the Commissioner-General may specify.

   The accounting software used by a registered person shall be one that is approved by the Commissioner-General.

2. On application by a registered person, the Commissioner-General may permit the records required to be kept under the Act, Regulations and these guidelines to be maintained electronically, subject to the conditions that;

   (a) the Commissioner-General shall have unrestricted access to the records of the registered person during normal business hours;
   (b) the registered person shall provide, at the expense of the registered person, print-outs of any information required by the tax officer;
   (c) the registered person shall provide a competent Information Communication Technology personnel, at the expense of the registered person, to assist the Commissioner-General in any verification or audit the Commissioner-General may wish to conduct; and
   (d) the registered person shall make the records available for examination by the Commissioner-General whenever examination is required.

   A registered person shall keep the records required to be kept under regulation 31(1) for a minimum period of six years and shall after the six years, only destroy the records with the written permission of the Commissioner-General as provided for in regulation 31(4).

14.0 ISSUANCE OF E-INVOICING DECAL

15.0 **Issuance of E-VAT Decal**

An E-VAT decal will be issued to a taxpayer to indicate that the taxpayer is authorized to issue the certified invoice.

16.0 IMPLEMENTATION TIMELINES

Implementation of the E-invoicing system will be carried out in phases as determined by the Commissioner-General. The estimated duration for onboarding Taxpayers to the Free Invoicing and the API Integration is 2 weeks and 1 month respectively.

17.0 TRANSITIONAL ARRANGEMENTS

17.1 Backdated E-VAT Invoices

Where a transaction predates the date of issuance of an invoice, a taxable person shall be allowed to issue the invoice using both the transaction and the invoice date.

17.2 Predated E-VAT Invoices

Where an amendment, cancellation, correction and/or adjustments to an invoice relates to a previous transaction that occurred before the E-VAT go-live date for a taxpayer, then such transactions should be excluded for the purpose of accounting for the Tax in the current period on the E-VAT system. Refunds will only be allowed for invoices within a six (6) months period subject to a taxable person presenting historical sales data for the invoice.

18.0 COMPLIANCE MONITORING

GRA officers will visit taxpayer premises to conduct compliance monitoring activities for purposes of ensuring that invoices are issued exclusively from the taxpayers' Certified Invoicing System by establishing the authenticity of E-VAT invoices issued to customers.

The taxpayer's system must allow GRA access to its system logs (direct DB connections and/or electronic files) in an automated manner.

19.0 STAKEHOLDERS

These guidelines are developed for use by both internal and external stakeholders. Internal stakeholders are the GRA Management and officers who are expected to drive the implementation of the Certified Invoicing System.

External stakeholders include:

a. Taxpayers using manual invoicing
b. Taxpayers granted dispensation to use their own invoicing systems
c. Controller and Accountant General Department
d. Audit Service
e. Identifiable Trade Associations
f. General Public

20.0 SUPPORT

GRA will provide support to taxpayers in the form of technical and general assistance through the GRA Contact Centre, website and other social media platforms.
Kindly contact the GRA toll-free number **0800 900 110**, any of the Contact Centre hot-lines, WhatsApp numbers, Email addresses or visit the nearest Taxpayer Service Center for assistance.

GRA Contact Centre
020 926 7047
020 926 7048
020 926 7049
020 926 7125
020 926 7059

GRA WhatsApp Contacts
055 299 0000
020 063 1664

Email Contact
info@gra.gov.gh
Info.vat@gra.gov.gh

21.0 SANCTIONS

The Commissioner-General will sanction taxpayers who breach the conditions specified under the VAT Act and the Revenue Administration Act 2016 (Act 915) and these guidelines covering the use of Certified Invoicing Systems for the issuance of invoices.

Penalties faced for non-compliance are:
• A fine of not more than one hundred penalty units or a term of imprisonment of not more than six months or both.
• In addition to the above, a penalty of an amount of not more than fifty thousand currency points or three times the amount of tax involved, whichever is higher.

Signed:..
JULIE ESSIAM
COMMISSIONER - GENERAL
Date...
SIGN..............................
DATE...... 26 JUNE, 2024
Julie Essiam
Commissioner-General